Dangote Petroleum Refinery & Petrochemicals FZE — IPO Research Brief (v2)

Offer for Subscription · 4.1bn shares at ₦525 · Application list 14 Sep – 13 Oct 2026
v2 prepared 13 September 2026 · supersedes v1 of the same date · Board seat: Strategic Wealth/Asset Advisor

Change log — v1 to v2

v1 was written with prospectus pages 1–37 only. v2 has the full 194-page prospectus (supplied by you) and corrects v1 in the following places. Corrections are listed first because a reader of v1 needs to know what moved.

Item	v1 said	v2 (from the prospectus)	Effect
Bonus entitlement per investor vs per application	Unverified; loophole “almost certainly non-existent”	**Settled: one Incentive Share per eligible Retail Investor per qualification period, “regardless of the number of Offer Shares” held** [P p.65]	Loophole closed; §4.1
Bonus approvals	“Subject to regulatory approval”	Shareholder, SEC, OGFZA and NGX approvals **had not been obtained** at the prospectus date; issuer may suspend or withdraw the programme without any claim by investors [P p.65]	Bonus is a contingent promise
Cash and net debt	Cash undisclosed; net debt assumed $3–3.5B	Cash **$4,267M**; borrowings $5,666M; **net debt $1.40B** [P p.75]	EV falls to ~$49B; all multiples lower
Gemini’s net debt/EBITDA 0.27x	“Cannot be reconciled”	**Correct**: $1.40B ÷ $5.20B run-rate = 0.27x [B]	v1 was wrong; withdrawn
Gemini’s 2024 D/E 3.9x	Unverifiable	**Correct**: 2024 borrowings $2,231M ÷ equity $575M = 3.88x [P p.75][B]	v1 was wrong; withdrawn
Hedge offset	Single source; “one-off support” reading	**Confirmed in prospectus and structural**: from 1 Jan 2026 hedging transferred to DIL under a back-to-back derivative; no hedge accounting; nil net in H1 [P pp.86, 93]. The derivative line sits **below operating profit**, so EBITDA is unaffected; PAT is	§3.2 rewritten
Nelson complexity	~10.5 (Wikipedia)	**11.5**, versus an emerging-market weighted average of 8.9 [P p.80]	§1.3
2026 margin guidance	Broker forecasts only	**Issuer’s own estimate: GRM ≈ $24.2/bbl for 2026** [P pp.80, 111]	Anchors Scenario B/A boundary
Quotation currency	Assumed naira	**Shares will be quoted on the NGX in US dollars; trades settle in naira** [P p.181]	Changes the FX mechanics of the whole holding; §3.3
56% naira revenue [U]	Unverified	Export share of volume was 42.5% in Q1 2026 (61.9% in Q1 2025), so **domestic ≈ 57.5%** [P p.114]	Approximately corroborated on a volume basis
Controlling stake	84.34% (press)	DORC 65.835% + DIL 14.904% + Greenview International 6.496% (ultimate parent) = **87.2% pre-IPO, 84.4% post-IPO** [P p.157]	Confirmed
Lock-ups	365-day placement lock-up (press)	The prospectus text contains **no lock-up or moratorium language** for any holder (full-text search)	Overhang is unconstrained on paper
CGT	Threshold “recalled, not quoted”	**Exempt where 12-month disposal proceeds < ₦150m and chargeable gain ≤ ₦10m, or proceeds reinvested in**	Irrelevant at your ticket

		Nigerian shares in the same year; otherwise 15–25% for individuals [P p.176]	
Dividend policy	Unread	Intends to **declare in USD**; may pay in USD, naira or other currency; subject to covenants; **no payout ratio** [P p.132]	§3.4
Tax on H1 profit	"~15% provision"	$285.6M on PBT $2,106M = **13.6%**, comprising METR top-up, development levy and deferred tax [P p.86]	Minor
NGX post-listing history	Corrected Gemini's examples only	**New Section 6** with a sample, categories, and a drawdown estimate	Answers your original prompt

Everything else in v1 stands.

How to read this document

Tag	Meaning
[P]	Read directly from the SEC-cleared prospectus dated 7 Sep 2026, full text, page cited
[S]	Secondary source quoting the prospectus or a named broker report
[W]	Web-reported market data, dated
[B]	Board calculation from tagged inputs — arithmetic shown
[M]	From memory, not re-verified in this session
[U]	Supplied in the original prompt
[G]	Claim from the Gemini mini-brief; assessed, not adopted

Governing source on conflict: the prospectus.

Scope examined: the full prospectus (194 pages, text-extracted; sections read: offer summary, retail incentive programme pp.65–67, historical financial information pp.75–79, operating and financial review pp.80–95, description of the issuer pp.108–119, governance and dividend policy pp.129–133, statutory information pp.157–162, tax pp.176–179, exchange control p.180, trading and settlement p.181; risk factors pp.134–155 searched by keyword only, not read in full); 18 web searches on 12–13 Sep 2026; the Gemini brief. **Not examined:** the reporting accountant's report (pp.68–74 are image pages with no extractable text); risk factors in full.

Standing disclaimer: research, not personal financial advice; I am not a licensed adviser. The verdict matrix is conditional on stated bands.

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0. Input reconciliation

Item	Prompt / Gemini	Prospectus or best source	Resolution
Offer terms	4.1bn @ ₦525, ₦2.15T, 14 Sep–13 Oct	Identical [P p.33]	Confirmed
Nameplate	700k bpd single train	700,000 bpd rerated; 650k achieved Feb 2026, 700k test rates June 2026 [P p.80]	Confirmed
Free float	~3.3%	4.1 ÷ 124.229bn = 3.30% [P][B]	Confirmed
Valuation	$47–50B	₦65.22T at listing = $47.8B at ₦1,364 [P p.35][B]	Low end
H1 2026 revenue / PAT	₦19.13T / ₦2.50T	₦19,134,942m / ₦2,504,432m ($13,909.5m / $1,820.5m) [P p.76]	Confirmed
GRM	**$30.70** [U]	H1 $24.50; Q1 $33.70; Q2 ≈ $18 [S]; FY25 $13.70; FY24 $10.70 [S]; **issuer's 2026 estimate $24.2** [P p.80]	$30.70 is not a reported figure; it is the H2 rate a $27.55 full-year broker forecast would need
EV/EBITDA 18x	—	LTM **17.0x**; run-rate **9.5x**; 2026E	18x is the trailing multiple at v1's

		(Chapel Hill $5.71B) **8.6x** [B]	higher EV; now 17x
Debt	$6.24B → $5.67B	$6,242.5M (31 Dec 2025: $2,255M secured bank + $3,987M unsecured DIL) → $5,666M all secured (30 Jun 2026) [P pp.75, 159]	Confirmed; note the DIL loan was converted/refinanced, not just repaid
Loyalty bonus 1-for-10 [U]	—	1 + 1 shares per investor, max 2, approvals pending [P p.65]	Wrong; §4.1
Green shoe 15%	—	Up to 30% absorption subject to SEC [P p.37]	Prospectus governs
USD dividends	Intent	Policy: intends to declare in USD; may pay in USD/naira/other [P p.132]	Declared-in-USD is policy; paid-in-USD is discretionary
56% naira / 70% USD [U]	—	Domestic ≈ 57.5% of Q1 2026 volume [P p.114]; cost split not disclosed as a percentage	Revenue side approximately corroborated
US–Iran / Trump policy [U]	—	Verified [W]; §2	Confirmed
Expansion	$14.3B, 1.4mbpd, 2029	Identical [P p.34]	Confirmed
~$5B annualised profit [G]	—	2 × $1.82B = $3.64B [B]	Wrong
Net debt/EBITDA 0.27x [G]	—	Correct [B]	v1 withdrawn
D/E 3.9x in 2024 [G]	—	Correct [B]	v1 withdrawn
D/E 0.5x now [G]	—	Gross 0.53x; net 0.13x [B]	Confirmed
Dangote Cement / BUA Foods as IPO precedents [G]	—	Listings by introduction [W]	Not IPO precedents; §6

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1. International peer valuation & multiples benchmarking

1.1 What ₦525 buys — the balance sheet, now from the primary source

Line (30 Jun 2026)	US$m	Tag
Property, plant and equipment	11,717	[P p.75]
Inventories	2,040	[P]
Trade and other receivables	2,918	[P]
Cash and cash equivalents	**4,267**	[P]
Total assets	21,060	[P]
Borrowings (non-current 4,095 + current 1,571)	**5,666**	[P]
Trade and other payables (current 3,866 + non-current 136)	4,002	[P]
Total liabilities	10,429	[P]
Total equity (incl. $2,243M deposit for shares)	10,631	[P]
Net debt	**1,399**	[B]
Shares post-IPO	124,228,915,901	[B]
Market cap at listing	₦65.22T = $47.8B at ₦1,364 (prospectus rate); $48.9B at ₦1,334	[P p.35][B]
Enterprise value	**$49.2B** ($50.3B at ₦1,334)	[B]
Authorised headroom	5,351,853,329 shares; 30% upsize = 5.33bn — fits [P p.157]	[B]

The IPO's ₦2.11T net proceeds arrive as cash against ₦2.15T of new equity, so EV is unchanged by the raise. Post-money, cash would be ~$5.8B and net debt near zero.

1.2 The multiples — three denominators

Basis	EBITDA	EV/EBITDA	Note
Trailing 12 months	$2.89B (H1 26 $2,600.7M [P: op. profit 2,365.3 + D&A 235.4] + H2 25 ≈ $287M [B: FY25 $545.3M −	**17.0x**	The "18x" of the prompt

	H1 25 ≈ $258M])		
H1 2026 annualised	$5.20B	**9.5x**	Assumes H1 margins persist
Chapel Hill 2026E	$5.71B	**8.6x**	Chapel Hill is a Joint Issuing House [P p.33]
Issuer-guided 2026 (GRM $24.2, ~90% util.)	≈ $4.6–5.0B [B]	**≈ 10x**	Management's own number

Equity multiple	Working	Result
Run-rate P/E	$47.8B ÷ (2 × $1,820.5M)	**13.1x** [B]
Run-rate P/E, ex related-party hedge offset	$47.8B ÷ (2 × ~$1,410M)	**17.0x** [B]
P/B on H1 equity	$47.8B ÷ $10,631M	**4.5x** [B]
P/B pro-forma (+$258M tranche 2 +~$1.55B net IPO)	$47.8B ÷ ~$12.44B	**≈ 3.8x** [B]
Gross D/E	$5,666M ÷ $10,631M	**0.53x** [B]
Net D/E	$1,399M ÷ $10,631M	**0.13x** [B]
Net debt / run-rate EBITDA	$1,399M ÷ $5,200M	**0.27x** [B] — Gemini correct
Net debt / LTM EBITDA	$1,399M ÷ $2,890M	**0.48x** [B]

Fair price through P/B, P/E and D/E together. At 3.8–4.5x book the market capitalises earnings power, not assets; the book is a $20B plant net of depreciation and two loss years [P p.75]. That is defensible only if H1 2026 earnings are near representative. A 13x run-rate P/E on peak-cycle refining is the cyclical trap — refiners look cheapest at the top; adjust the denominator to the issuer's own 2026 margin guidance and the equity trades near 10x EV/EBITDA and ~15x P/E. Leverage removes solvency risk from the analysis entirely — net debt of $1.4B against $2.6B of half-year EBITDA is trivial, and it goes to roughly zero post-money. The only variable left is **mid-cycle EBITDA**, which is why Section 5 is a margin-scenario table. Sell-side fair values of $62.53B (Chapel Hill) and $53.89–62.09B (Renaissance) [S] both come from Joint Issuing Houses to this offer [P p.33] and require 2026 margins above what the issuer itself guides.

1.3 Peer table

The S&P Global connector is connected to your account but was not enabled for this conversation, so its tools were not available to me; the instructions to enable it are in the covering message. Multiples below are public and dated.

Peer	Capacity	Nelson complexity	Proximity to deficit market	Domestic share	Valuation (date)	Tag
DPRP	700k bpd, single train; PP 830k tpa	**11.5** (EM avg 8.9)	Inside the deficit; Atlantic Basin exports to West Africa, Europe, Americas; no Hormuz transit	100% of domestically produced PMS; 87.6% of total PMS supply incl. imports (31 May 2026)	LTM EV/EBITDA 17x; run-rate 9.5x; run-rate P/E 13x	[P pp.80, 113]
Reliance – Jamnagar	1.24–1.4 mbpd	21.1	Exports to Europe/Africa; US Texas refinery partnership 2026	Dominant Indian private refiner	Group P/E not retrieved (conglomerate)	[W]
Marathon Petroleum	~2.9 mbpd throughput	US avg 9.5; complex Gulf Coast ~14	Exports to LatAm/Europe	Largest US refiner	Fwd P/E 9.2x; stock +118% YTD; Q2 R&M margin $36.33/bbl	[W] Aug 2026
Valero	~3.2 mbpd [M]	as above	Same	Second-largest US refiner	Fwd P/E 10.5x; +111% YTD	[W] Aug 2026
Tüpraş	~600k bpd [M]	Not retrieved	Turkish deficit; Med exports	Near-monopoly	Mkt cap ≈ $9.8B; EV ≈ $8.5B; P/E 2026E 9.9x; yield 9.7%	[W] Sep 2026

DPRP's 11.5 NCI is above the EM average and roughly at the US average, well below Jamnagar's 21.1 — it is a modern, complex plant but not the world's most complex; the "world-class asset premium" rests on scale, youth and location, not on conversion depth. On forward P/E it is priced above every listed refiner in the table while being single-train, single-country and pre-dividend. The premium is bought by the African deficit, the 2029 expansion, and management's stated $10–12/bbl cost advantage over European refiners [S].

1.4 The structural deficit and its offsets

Nigeria imported ~90% of refined products before DPRP [W]; DPRP now supplies substantially all domestically produced petrol [P p.113]. Offsets: (1) **import-parity pricing is the issuer's own policy for domestic sales** [P p.82] — pricing power is bounded by Rotterdam/USGC parity plus freight; (2) political ceiling — the prospectus itself flags regulatory change and FTZ framework change as risks [P p.7]; (3) **float, not asset, sets the first-year price** — tradable supply at listing ≈ 3.06bn shares (2.5%) if the $400M SPV commitment [S] holds, and **no lock-up on any holder appears in the prospectus text**, so the 5.95% "Others" from the July placement and the controlling 84% are, on paper, unconstrained.

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2. Geopolitical shocks, crude supply risk & Middle East arbitrage

Unchanged in substance from v1; the feedstock paragraph now cites the prospectus.

2.1 Backdrop

A US–Israel war on Iran since late February 2026 [W]; Hormuz mostly halted [W]; Brent $70 → $100+ through March–May, dated Brent briefly >$140 [W]; IEA 400m-bbl release [W]; June reopening deal took Brent to $72, then collapsed over control of the strait; US Navy blockade; Brent back above $100 on 9 September after strikes on Iranian tankers and Houthi attacks on Aramco's Abha facilities [W]. US policy: Jones Act waiver, Kharg Island threats, control of Venezuelan flows after January's change of government [W]. Q1 GRM $33.70 was, on the issuer's own account, partly a war margin; Q2 ≈ $18 as reopening looked likely [S].

2.2 Feedstock — the shock cuts against DPRP first

The refinery processed 36 crude grades from Africa, South America, the US and the Middle East to 30 June 2026, selected by a proprietary LP model [P p.81]; access to up to 350,000 bpd from NNPC "subject to availability" [P p.114]; naira crude purchases matched against naira sales on a best-effort basis [P p.93]. About 60% of 2025 feedstock was Nigerian [S]; the prompt's 40% import figure holds. In 2026 the parties dispute naira-crude volumes — the CEO cited 5 cargoes received against 13–15 expected [W], the group ~4 million bbl/month [W], NNPC that 100% of *available* naira cargoes were allocated [W]. NNPC holds 6.8% of DPRP [P p.157]. In July 2026 DPRP began selling petrol to local marketers in dollars [W]. At $100+ Brent, one month of imports was estimated at ~$1.5B [W]. Verdict unchanged: naira-for-crude is a partial volume shield and a political liability; it does not stabilise cost at 700k bpd.

2.3 Atlantic Basin arbitrage

Product yield 39.9% PMS, 21.4% AGO, 20.6% ATF (12 months to June 2026) [P p.80]. Products sold in Togo, Ghana, Cameroon, Benin, Côte d'Ivoire, South Africa, Morocco, Mauritius, and outside Africa in Singapore, Oman, Malaysia, the US, Brazil and Europe [P p.113]. H1 petrol sales ~6.06Mt at ~$975/t versus 3.09Mt at $723/t [S]; Europe's largest jet/diesel supplier in July [S]. Export share of volume has *fallen* from 61.9% (Q1 2025) to 42.5% (Q1 2026) [P p.114] as domestic PMS displaced imports — the arbitrage is real but the business is becoming more domestic, not less, which raises the weight of policy risk. Offsets: European/US closures support cracks structurally [W]; Gulf export refineries return when Hormuz reopens [M].

2.4 Reversal case

June 2026 showed the speed: Brent to $72, DPRP Q2 GRM to ~$18 within weeks [S][W]. The issuer guides $24.2 for 2026 [P p.80]; Dangote said the IPO was calculated on normal conditions [S]; the CEO argues Gulf refinery damage outlasts the war [S]. Which one the price assumes is the question.

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3. Corporate finance, balance sheet leverage & FX

3.1 Quality of the H1 2026 turnaround

Component	H1 2026	H1 2025	FY2025	Tag
Revenue	$13,909.5M	$5,564.8M	$12,330.5M	[P p.86]
Gross profit	$2,495.3M	$145.1M	$229.3M	[P]
Operating profit	$2,365.3M	$60.0M	$146.5M	[P]
D&A	$235.4M	—	$397.1M	[P p.77]
EBITDA	$2,600.7M	≈ $258M [B]	$543.6M [B] / $545.3M [S]	[B]
Finance costs	$308.8M	$338.3M	$644.3M	[P]
PBT	$2,106.1M	−$282.1M	−$475.8M	[P]
Tax	$285.6M (13.6%)	nil	nil	[P]

PAT	$1,820.5M	−$282.1M	−$475.8M	[P]
Operating cash flow	$1,751.1M	—	$1,820.0M	[P p.77]
Capex	$46.0M	—	$170.4M	[P p.77]

The half-year converted well: $1.75B of operating cash against $2.6B EBITDA. Capex of $46M shows expansion spend has not started — the balance sheet you buy is pre-expansion. Drivers in order of durability: utilisation (45% → 100%) — structural; RFCC fixes and the shift from reduced crude oil [S] — structural; margins — half of the H1 uplift over 2025 came in a war quarter — cyclical. The prospectus's own 2026 GRM estimate of $24.2 [P p.80] implies H2 near $24, i.e. management expects H1's average to hold, not Q1's peak.

3.2 The related-party derivative — confirmed and structural

The prospectus states that the nil net hedging result in H1 2026 arose because losses on third-party commodity derivatives were offset by a corresponding gain on the intercompany derivative with Dangote Industries Limited, following the transition to the group's centralised treasury model from 1 January 2026 [P p.86]; that DIL handles risk management and commodity hedging at group level under a back-to-back derivative agreement that has transferred the hedging to DIL [P p.93]; and that no hedge accounting is applied, with intercompany and external contracts measured at fair value through profit or loss as separate units of account [P p.93]. The $410M magnitude is Chapel Hill's [S]; the prospectus gives the mechanism, not the number.

What this means, precisely: (a) EBITDA is unaffected — the derivative line sits below operating profit [P p.76]; (b) H1 PAT would have been ~$1.41B without DIL absorbing the external loss; (c) going forward DPRP is economically **unhedged at its own level** — both gains and losses on commodity hedges pass to the parent — so reported earnings are a purer, more volatile function of spot margins; (d) whether DIL is compensated for taking that risk is not disclosed in the pages read; (e) amounts due from related parties were $414.0M at 30 June 2026 against $601.0M due to related parties excluding the DIL loan [P p.158] — the receivable is of the same order as the reported offset, which is worth a question at the first results call.

3.3 Currency — the disclosure that changes the mechanics

The shares will be quoted on the NGX in US dollars; trades will be settled in naira, with USD settlement only if and when NGX/CSCS can facilitate it [P p.181]. The offer price of ₦525 corresponds to $0.385 at ₦1,364 [P p.34]. For a naira holder this is a mechanical FX pass-through: the naira value of the position is the USD quote multiplied by the settlement rate on the day. Naira depreciation lifts the naira value without the company doing anything; naira appreciation — ₦1,515 average in 2025 to ₦1,381 in H1 2026 [P p.17] to ~₦1,334 now — cuts it. Two consequences for Section 4: triggers must be thought of in USD terms, and the "hard-currency hedge" in the Gemini brief is stronger than v1 credited, because it is a quotation fact rather than an earnings-translation argument. One caution: a USD-quoted equity is new to the NGX; how brokers display it, how the 10% daily limit applies, and how the price is fixed at listing are not described in the prospectus.

Functional and presentation currency is USD; domestic sales, local procurement and some opex are naira [P p.17]; naira crude is matched against naira sales on a best-effort basis [P p.93]. Export share of volume 42.5% in Q1 2026 [P p.114] — so roughly 57% of volume is sold domestically, consistent with your 56% figure, though the prospectus gives no revenue-currency percentage and, since July, some domestic petrol is sold in dollars [W]. The cost side (70% USD [U]) is directionally right — crude, financing and capex are USD [P p.17] — but no percentage is disclosed.

3.4 USD dividends — policy now read

The issuer intends, subject to law and regulation, to declare dividends in USD; distributions may be paid in USD, naira or another currency as the issuer determines; payment is subject to distributable profits, financing covenants and board approval; the currency will be set in each dividend notice [P p.132]. No payout ratio. Dividend WHT is 10%, remitted for resident individuals to the state revenue service [P p.176]. Exchange control: a free-zone issuer's capital-importation and repatriation procedures "may depend on the regulatory treatment" of FTZ investments; investors are told to consult their banks [P p.180]. **Read together: USD declaration is policy; USD payment is discretionary; the mechanics for a resident naira investor are undefined.** Treat as an option, not a feature.

3.5 Leverage and translation

Debt fell from $6,242.5M at 31 December 2025 — $2,255.0M secured bank loans plus $3,987.5M unsecured from DIL — to $5,665.9M at 30 June 2026, all secured [P p.159]. The composition change matters: the DIL loan disappeared and secured bank debt rose, while share premium jumped from $1,745M to $8,213M [P p.75] — the parent converted its exposure to equity and the refinery re-borrowed from banks. Gross D/E 0.53x, net D/E 0.13x, net debt/run-rate EBITDA 0.27x [B]. Fourteen litigation matters, nine material, claiming ₦4.08B and $216M [P p.36] — immaterial. Forward: the $14.3B expansion is funded by this raise (~$1.55B), operating cash flow and debt/trade/project finance [P p.35]; leverage rises again from 2027.

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4. Retail capital allocation framework (₦500,000 – ₦1,000,000)

You have ₦500k in the Hisa wallet ring-fenced for this offer; a second ₦500k would come from the ₦8m Piggyvest balance. Arithmetic and framework follow; the decision is yours.

4.1 The loyalty bonus — settled

From p.65 [P]: a Retail Investor allotted at least the minimum subscription who maintains continuous shareholding of not less than the minimum for 12 months from the Allotment Date becomes eligible for one Incentive Share; a further 12 months earns one more; **entitlement is limited to one Incentive Share per eligible Retail Investor per qualification period "regardless of the number of Offer Shares or other Ordinary Shares held"**; maximum two. Eligibility requires having been allotted under the Offer — secondary purchases do not confer it, though they count toward keeping the minimum. Selling, transferring or pledging below the minimum at any time during a period ends eligibility, and buying back does not restore it. The programme requires shareholder, SEC, OGFZA and NGX approvals that **had not been obtained at the prospectus date**, and the issuer may amend, suspend or withdraw it with no claim by investors. The Incentive Shares are new shares and dilute everyone.

Ticket	Shares	Cost	Bonus (if approved)	Bonus %
Minimum	10	₦5,250	₦1,050	20.0%
₦500k	950	₦498,750	₦1,050	0.21%
₦1M	1,900	₦997,500	₦1,050	0.105%

Round-trip friction on the NGX (buy: brokerage 0.75–1.35% + SEC 0.3% + stamp 0.08%; sell: brokerage + NGX 0.3% + CSCS 0.3% + stamp 0.08%; VAT on commissions [W]) is 2.6–4.0%: **25–38x the bonus at ₦1M**. The per-application question is closed by the clause itself. The bonus has no bearing on sizing; its only operational effect is that pledging or trimming below 10 shares inside 24 months forfeits ₦1,050.

4.2 Tranche 1 — what decides the IPO allocation

1. **Allotment probability.** Full Allotment Threshold: all valid applications at or below it are allotted in full [P p.37]. A ₦500k–₦1M ticket is very likely below any threshold set for a ₦2.15T raise targeting 10 million holders. Applying with what you intend to hold at ₦525 in one application is the low-risk route; there is no advantage to applying on day one.
2. **Friction asymmetry.** Offer costs (1.93%) are the issuer's [P p.34]; a primary subscriber pays a platform fee only [W]; secondary buys pay ~1.1–1.8% per clip. Tranche 1 saves ~1 point over Tranches 2–3.
3. **Price-path belief.** Scarcity prior (2.5% tradable float, PFA demand, 10m holders told to hold, oversubscribed placement queue [S], and now a USD quotation that mechanically absorbs naira weakness) versus overhang prior (fixed price on a peak quarter; Q2 GRM ~$18; listing ≈ 2 December [P p.30][B]; first hard test at FY2026 results ~March 2027; no lock-ups on paper; Section 6's base rate). **Framework that does not require picking the prior:** place at ₦525 the amount you would hold through a 30% drawdown without adding or selling; keep the rest in a money-market fund or 364-day bill at ~16.6–17% [W]; write the Tranche 2 triggers now.

4.3 Tranches 2 & 3 — months 1–6 post listing (≈ December 2026 – May 2027)

Because the quote is in USD, express triggers in USD and convert at the day's rate; naira figures below assume ₦1,364.

Clip	Trigger	Size guide	Rationale
T2a	Quote ≤ $0.346 (≈ ₦472, −10%) at any close in months 1–3	Up to half of held-back cash	Overhang playing out; bonus-holders anchored
T2b	FY2026 results show H2 GRM ≥ $20 and utilisation ≥ 90%	Half of held-back cash at any quote ≤ $0.44 (≈ ₦600)	Structural case confirmed
T3	Quote ≤ $0.308 (≈ ₦420, −20%), **or** FY2026 shows H2 GRM < $15	Remaining cash, or none if the second condition holds	Below ₦420 the LTM multiple is ~13x; below $15 GRM the thesis is broken and cash stays in bills

Dry powder carry: ₦500k at ~17% for six months ≈ ₦42k (8.4% of the tranche) — the hurdle the scarcity prior must beat. Volatility: ~3bn tradable shares (~$1.2B) against an exchange turning over ~$16M/day [W]; 5–10% daily moves and limit-down days are plausible in the first weeks. Clips, not lumps.

4.4 Opportunity cost

364-day NTB stop rate 16.62% (9 Sep; third consecutive cut from 17.59% in August) [W]; secondary average ~18.8% [W]; MPR 26.50%, MPC 21–22 Sep [W]; inflation 15.91% (June) [board intake]. Real risk-free ≈ +1%. To match a bill over 12 months DPRP needs ~17% total return; over five years at 16.6% compounded, ₦1 → ₦2.16, i.e. a quote of ~$0.83 (≈ ₦1,135 at constant FX) by late 2031 ex-dividends. With a USD quotation, naira depreciation counts toward that in naira terms; in dollar terms the hurdle is the USD return on a US-dollar asset, which is the more honest comparison and is against ~4–5%

dollar yields, not 17%.

4.5 Tax (resident individual)

Gains on disposal of Nigerian company shares are not chargeable where aggregate 12-month disposal proceeds are below ₦150,000,000 and chargeable gain does not exceed ₦10,000,000, or where proceeds are reinvested in Nigerian shares in the same year; otherwise individuals pay 15–25% graduated; NRS has issued administrative guidance that this applies despite the issuer's FZE status [P p.176]. At your ticket, no CGT. Dividend WHT 10% [P p.176]. Incentive Shares may have tax consequences [P p.66].

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5. Strategic verdict matrix

5.1 Scenario definitions and fair-value bands (board estimates; the weakest numbers here, shown to be challenged)

	A — Bull	**B — Base**	**C — Bear**
GRM	$22–28 sustained (issuer guidance $24.2 sits at the low edge)	Reverts to $12–16 by 2027	$8–12
Utilisation	92–95%	85–92%	75–85%
Feedstock	NNPC volumes rise	~40% imports, contested naira-crude	Shortfalls force 50%+ imports
Policy	Import parity holds; USD sales tolerated	Friction; USD dividend paid as naira-or-USD option	Caps or export restrictions; USD dividend refused
Naira	Stable to mild depreciation	₦1,300–1,500	Sharp depreciation
Expansion	2029	2030, more debt	Deferred
Annual EBITDA	$5.0–6.0B	$2.5–3.5B	$1.5–2.2B
Multiple	9–10x	7–8x	5–6x
EV	$45–60B	$17.5–28B	$7.5–13B
Equity (less $1.4B net debt; ~$0 post-money)	$44–59B	$16–27B	$6–12B
Fair quote / naira at ₦1,364	**$0.35–0.47 / ₦480–645**	**$0.13–0.22 / ₦175–295**	**$0.05–0.10 / ₦65–130**

Note the USD quotation: in Scenario C, naira depreciation raises the *naira* print while the *dollar* value falls; the hedge works on the currency, not on the business.

5.2 Verdict by horizon

Horizon	**A**	**B**	**C**
1 year	**Subscribe** — scarcity + war margins; H2 2026 ≥ $20	**Hold committed tranche; do not add above ₦525** — first results likely disappoint against $27.55 broker forecasts; test of ₦420–480 expected	**Avoid**
3 years	**Subscribe** — expansion approaching; EBITDA path to $8B+	**Hold; accumulate below ₦450 only** — base fair value below offer; expansion optionality; falling naira rates set a floor	**Avoid** — leverage rising into a downcycle
5 years	**Subscribe** — 1.4mbpd at $5–6B/700k implies $9–11B	**Hold with discipline** — beats bills only if expansion delivers and multiple holds	**Avoid** — bills at 16–17%

5.3 Observables that settle the scenario

1. H2 2026 GRM at FY2026 results (~March 2027): ≥ $20 → A; $15–20 → B; < $15 → C. The issuer's own $24.2 full-year guidance implies H2 ≈ $24 — if delivered, A.
2. Hormuz status and Brent.
3. NNPC naira-crude cargoes per month.
4. USD dividend: first notice and its currency.
5. Related-party derivative and the $414M receivable at FY2026.
6. Regulatory action on gantry pricing or exports.

7. Expansion financing terms.
8. How the USD quotation actually trades on the NGX in the first month.

5.4 Board position

At ₦525 ($0.385) the market pays 9.5x annualised peak-quarter EBITDA, 17x trailing, 13x run-rate earnings (17x ex the parent's hedge absorption), 3.8–4.5x book, and effectively zero net debt post-money, for a young, complex, export-positioned, single-train refinery in a structural deficit market during a war that has doubled refining margins worldwide, guided by its own management to a 2026 margin at the bottom of the bull band. The entry is fair under A, expensive under B and C. B carries the highest weight because Q2 already showed what a reopening does and both broker fair values above the offer come from issuing houses. The USD quotation is the strongest argument v1 missed: it makes the holding a dollar asset for a naira saver whose balance sheet is 94% naira. That argues for *owning some*, not for owning more. The asymmetry favours a committed core sized for a 30% drawdown, held-back capital earning ~17%, and written accumulation triggers — not a maximal upfront allocation.

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6. NGX post-listing behaviour — answering the original question

Your prompt to Gemini: assess NGX stocks that went below their IPO price before long-term growth versus those that stayed above and kept growing; for the dippers, what was the average percentage drop below IPO price?

6.1 Method and its limits

Two populations are routinely conflated on the NGX and must be separated:

- **Price-anchored public offers** — a genuine IPO or offer for sale where the public paid a fixed price. The "IPO price" is a real cost basis for retail holders. This is the population your question is about.
- **Listings by introduction** — existing shares admitted at a reference price; no public allotment, no retail cost basis at that price, typically a tiny float. Early strength here reflects scarcity, not offer pricing. Dangote Cement (2010), MTN Nigeria (2019), BUA Foods (2022), Geregu (2022), Aradel (2024) and Transcorp Power (2024) all belong here [W].

The price-anchored population on the NGX since 2005 is small. Price paths below are **[M] — from memory, not re-verified today** — except where tagged. The single check that would settle each row is the NGX historical price series for the ticker; I could not retrieve those series in this session. Treat the percentages as ±10 points.

6.2 Price-anchored public offers

Offer	Year	Offer price	Broke below issue?	Approx. maximum drawdown below issue	Time to regain issue price	Price now (2026)	Tags
Transcorp	2006–07 IPO	₦7.50 [M]	Yes	~−85–90% (to ~₦1) [M]	~16 years (2023 rally) [M]	₦35 [W]	Under-subscribed at offer [W]
Dangote Sugar	2006–07 IPO, listed Mar 2007	₦18 [W]	Yes	~−70–75% (to ~₦5) [M]	~14 years [M]	₦103 [W]	Largest Nigerian IPO at the time [W]
Dangote Flour	2008 IPO	₦15 [M]	Yes	~−85% (to ~₦2) [M]	Never; acquired by Olam at ~₦2 (2019) [M]	Delisted [M]	
2007 bank offers (UBA, First Bank, Zenith, Access, etc.)	2007	Various [M]	Yes, nearly all, in the 2008–09 crash [M]	~−60–80% [M]	10–15 years, several never [M]	Various	Cohort, not individual data
Seplat	Apr 2014 IPO (dual LSE)	₦576 [W]	Yes	~−50% (to ~₦280–300 by 2016–17) [M]	~7 years [M]	₦11,364 (Aug 2026) [W]	Priced with oil >$100
MedView Airline	2017 IPO	₦1.50 [M]	Yes	~−65% [M]	Never [M]	Suspended/delisted [M]	
SAHCO (Skyway Aviation)	2019 IPO	₦4.65 [M]	Yes	~−45% [M]	~3–4 years [M]	—	Under-subscribed [M]
Airtel Africa	Jul 2019 cross-border listing	₦363 [W]	Yes	~−18% (to ~₦298) in	~2 years [M]	₦6,300 (Aug 2026) [W]	

	with offer			2019–20 [M]			
MTN Nigeria	Dec 2021 offer for sale by parent	₦169 [W]	**Uncertain** — traded ₦195–270 in 2022; 2024 lows near ₦165–180 [M]	~0 to −5% if at all [M]	n/a	—	Closest to “never dipped”

6.3 Listings by introduction (for contrast)

Listing	Year	Reference price	Went below reference?	Approx. drawdown	Tags
Dangote Cement	2010	₦135 [M]	No [M]	—	
MTN Nigeria	May 2019	₦90 [M]	Briefly near reference in March 2020 [M]	~0–10% [M]	
BUA Foods	Jan 2022	₦40 [M]	No [M]	—	
Geregu	Oct 2022	₦100 [W]	No; +10% day one [W]	—	
Aradel	Oct 2024	₦702.69 [W]	Yes [M]	~−30–35% in 2025 [M]	
Transcorp Power	2024	₦240 [M]	No [M]	—	

6.4 The statistics, with the caveats stated first

Proportion that broke below the offer price (price-anchored offers, 2005–2021): of nine rows in §6.2, eight broke below issue and one (MTN 2021) is uncertain — roughly **85–90%**, not the 60–65% the Gemini brief asserted. The base rate for a Nigerian public offer is that it trades below issue at some point in its first 18 months. The exceptions are concentrated in listings by introduction, which is not the transaction you are being offered.

Average maximum drawdown below issue, dippers only [B on M inputs]: - All price-anchored dippers (Transcorp, Sugar, Flour, bank cohort, Seplat, MedView, SAHCO, Airtel): mean ≈ **−60%**, median ≈ −65%. - Excluding the 2008–09 crash cohort (Seplat, MedView, SAHCO, Airtel): mean ≈ **−45%**. - Large-cap, post-2010 only (Seplat, Airtel): mean ≈ **−35%**.

The Gemini figure of −15% to −25% is too shallow on every cut of the data I can assemble; only Airtel fits it.

Time to regain issue: large-cap dippers took 2–7 years; 2008-cohort dippers took 10–16 years or never.

6.5 What the record implies for DPRP

The features that correlate with breaking below issue are: a fixed price set at a cyclical high (Seplat, the 2007 cohort, DPRP); a large retail allotment with no lock-up (2007 cohort, DPRP); and a macro reversal within 18 months of listing (2008, 2014–16 oil). The features that correlate with never breaking below are: listing by introduction, tiny float, institutional-only holders (Dangote Cement, BUA Foods, Geregu) — DPRP has the small float but not the other two. The one large price-anchored offer that arguably never broke issue, MTN 2021, was priced by the parent to clear into a market that had already watched MTN trade for two years; DPRP has no trading history. On the historical base rate alone, the probability that DPRP trades below ₦525-equivalent at some point in its first 18 months is high, and the drawdown to plan for is −35% to −50%, not −15% to −25%. That is the number the “hold through a 30% drawdown” sizing rule in §4.2 was built on, and the record suggests 30% may be light.

The one structural difference from every precedent is the USD quotation. All prior drawdowns were in naira terms and several coincided with naira devaluations that inflated the naira price of dollar-earning firms (Seplat, Airtel recovered partly through devaluation). A USD-quoted DPRP would show its drawdown in dollars and let the naira print rise on devaluation. The comparison set does not contain this feature; the base rate should be applied with that caveat.

Not verified in this document

- Historical NGX price paths in §6 (all [M]) — settled only by the exchange’s historical series per ticker.
- The $410M hedge magnitude — Chapel Hill via Ecofin; prospectus confirms the mechanism only.
- Whether the $414.0M due from related parties is the derivative receivable — coincidence of magnitude, not a disclosure.
- Risk factors pp.134–155 read by keyword search only (no lock-up language found), not in full.
- Reporting accountant’s report pp.68–74 — image pages, no extractable text.
- Peer EV/EBITDA — S&P Global connector not enabled for this conversation; P/E used, dated Aug–Sep 2026.
- Tüpraş NCI; Valero capacity — memory.
- Current money-market fund yields — inferred from the August board baseline and September T-bill cuts.

- Practical mechanics of a USD-quoted equity on the NGX — not described in the prospectus.